

A STRING REPRESENTING THE
SUGGESTED TITLE.

A string representing the suggested subtitle.

Startup Cost Breakdown for a Late-Night Boba Tea Shop

Starting a boba tea shop on a budget of \$30,000 requires careful planning and financial discipline. Below is a detailed breakdown of potential startup costs for opening a small late-night boba tea shop on Green Street in Champaign.

Location and Rent

- **Initial Rent and Security Deposit:** \$5,000

This estimate is based on securing a small space on Green Street. Initial costs typically include the first month's rent and a security deposit. Rent might be negotiated given the off-peak operating hours.

Licensing and Permits

- **Business License and Permits:** \$1,000

Includes the cost of obtaining necessary licenses and health permits to operate a food service establishment.

Renovation and Interior Decoration

- **Basic Renovation and Interior:** \$4,000

Costs cover minimal renovations to create a functional and welcoming space. Given the budget, consider a simple, modern design with affordable materials.

Equipment

- **Essential Equipment:** \$7,000

- Boba tea machines, blenders, and refrigerators.
- Cooking and preparation equipment for tea and ingredients.
- Point of Sale (POS) system for transactions.

Supplies and Inventory

- **Initial Inventory:** \$3,000
Includes ingredients for boba tea such as tapioca pearls, teas, milk, flavorings, and disposables like cups and straws.

Marketing and Promotion

- **Initial Marketing:** \$2,000
Focus on social media campaigns and local advertising to attract the late-night crowd. Consider collaborations with nearby businesses or student organizations.

Staffing

- **Initial Staffing Costs:** \$3,000
Costs associated with hiring part-time staff, including initial wages and training, for a small team to cover the hours of operation.

Miscellaneous

- **Contingency Fund:** \$2,000
Set aside for unexpected expenses or emergencies that may arise during the initial months of operation.

Financial Feasibility

Total Estimated Cost: \$27,000

This budget leaves a \$3,000 buffer, which is crucial for any unforeseen expenses or additional working capital. The feasibility of this venture largely depends on maintaining strict cost control, efficient operations, and effective marketing strategies to attract the late-night clientele.

Considerations for Success

1. **Unique Selling Proposition (USP):** Develop a unique theme or specialty boba flavors that differentiate your shop from competitors.
2. **Target Market:** Focus on attracting students and night owls in the area by offering special promotions and a cozy ambiance.
3. **Operational Efficiency:** Streamline operations to minimize waste and maximize profitability given the limited operating hours.
4. **Community Engagement:** Engage with the local community through events or partnerships to build a loyal customer base.

By adhering to this budget and focusing on these key considerations, opening a late-night boba tea shop with a budget of \$30,000 on Green Street is financially feasible.